EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>$200B) · Report Date: October 12, 2026

Latest financials: Q2 FY2026 · Model data as of 2026-10-12

HOLD

Composite · Valuation: UNDERWEIGHT

Target $513.39 · -5.1% upside

Price $541.15

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target $513.39 (-5.1% vs $541.15); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT $513.39	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	NEUTRAL	Score +0.00 · 12m +7%	15%
Composite	HOLD	Score +0.03 · 50% confluence	—

Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

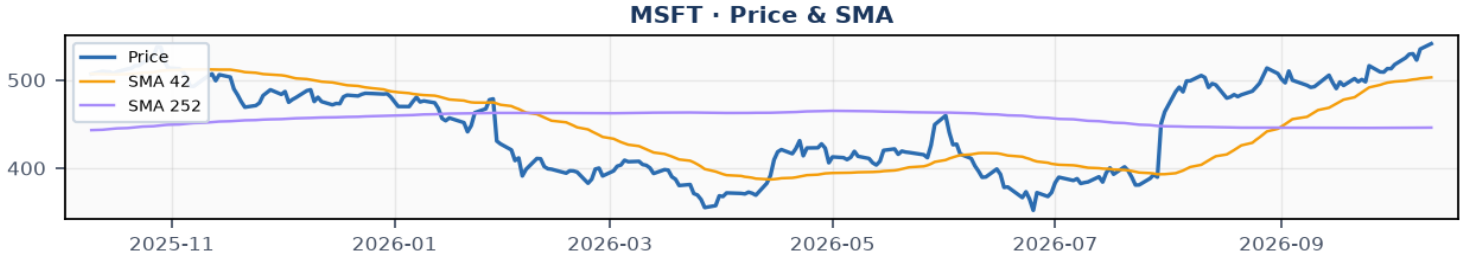
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation, a technology company, develops and supports a portfolio of technology solutions for individuals and businesses worldwide. Its... **UNDERWEIGHT** rating; blended target $513.39. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$4.02T	Shares Out.	7425.5M
52-Week Range	$349.20 – $553.72	P/E (TTM)	30.1x
P/B	9.1x	Beta	1.10
Avg Volume	27.59M	Analyst Rec.	Strong Buy
Revenue (TTM)	$331.84B	Rev Growth	+17.7%
Op. Margin	45.1%	FCF (TTM)	$66.99B
Gross Margin	67.9%	ROE	34.0%
EV/EBITDA	20.7x	Debt/Equity	29.1%
EPS (TTM)	$17.95	Div Yield	73.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue ($M)	281,724	331,839	390,575	441,896	485,856
Revenue Growth (%)	N/A	17.8%	17.7%	13.1%	9.9%
Net Income ($M)	101,832	133,749	157,423	178,108	195,826
Gross Margin (%)	68.8%	67.9%	67.9%	67.9%	67.9%
Net Margin (%)	36.1%	40.3%	40.3%	40.3%	40.3%
EPS ($)	13.71	18.01	21.20	23.99	26.37
P/E (x)	39.46	30.04	25.53	22.56	20.52

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$502.96	Short-term trend	12m Momentum	+6.8%	
SMA (252d)	$446.00	Long-term trend	3m Momentum	+37.0%	
RSI (14d)	77.9	Momentum oscillator	Ann. Volatility	28.2%	
Trend	Bullish		Sharpe Ratio	0.35	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-0.9%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 78 — overbought zone	Quant Score	+0.00	NEUTRAL
			SMA Backtest (ann.)	9.3%	B&H; 25.6%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$199.98	-63.0%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	$494.83	-8.6%	80%	Included in blend
Analyst consensus	$587.63	+8.6%	20%	Included in blend
Blended target	$513.39	-5.1%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.04%	4.00%	8.85%	$1.48T	$199.98	-63.0%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	$416.50B	21.5x	16.4x	26.4%	+29.6%
CRM	Salesforce, Inc.	$192.52B	21.4x	17.0x	22.0%	+10.8%
NOW	ServiceNow, Inc.	$145.07B	87.7x	51.6x	11.3%	+24.0%
IBM	International Business	$213.88B	20.2x	16.5x	15.5%	+1.1%
MSFT*	Microsoft Corporation	$4.02T	30.1x	20.7x	40.3%	+17.7%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.7% YoY); High operating leverage (45.1% margin); Sector: Technology | Industry: Software - Infrastructure · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.